

Portfolio Review & Restructuring Update

Concentration, factor build-out, and a pension-anchored growth mandate

PREPARED FOR

Cam

HORIZON

~10 years to retirement | \$80,000 guaranteed pension + retiree medical

TOTAL PORTFOLIO VALUE

\$1,622,015

39 positions · prices per source file

What the updated portfolio shows

TOTAL VALUE \$1,622,015 39 positions	TOP-10 WEIGHT 58% Top 5 = 40.7%	INTL VS TARGET 0.7% / 10% VXUS build underway	IDENTIFIABLE FUNDING \$121,532 without trimming winners
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- 01

Concentration is thematic, not just single-name
Financials 26% + mega-cap tech 25% ≈ 51% of the book in two correlated themes; top 10 = 58%.
- 02

The new factor sleeves are ~3% funded
VXUS at 0.7% vs 10% target and AVUV at 0.8% vs 5% — roughly \$220k still to deploy.
- 03

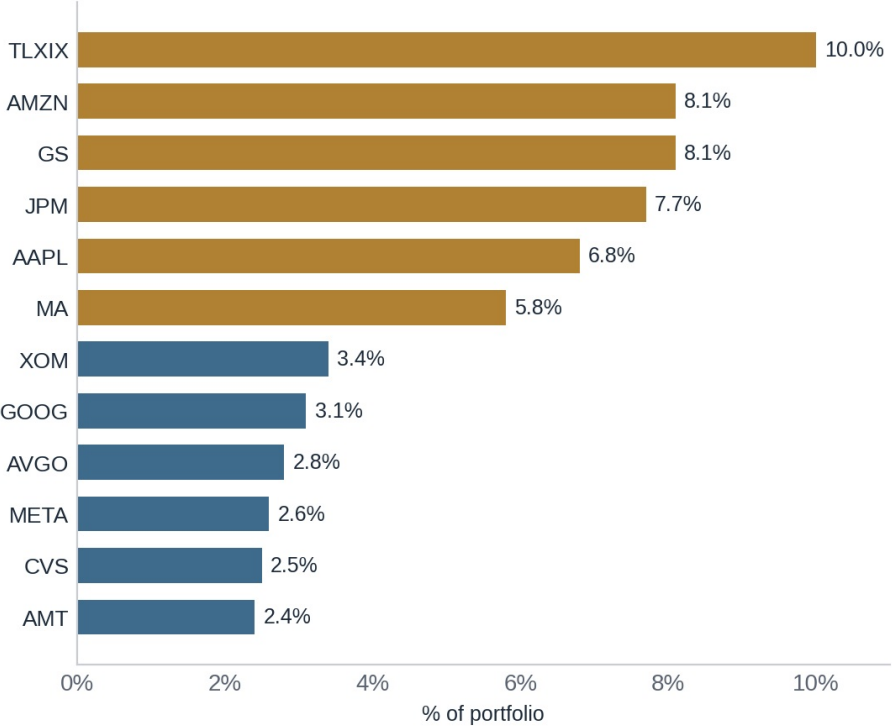
The pension reframes the objective
\$80k guaranteed income + retiree medical means the income-tilted sleeve is optional — and the cleanest funding source.
- 04

Winners can stay; funding comes from elsewhere
~\$122k is identifiable from cash, a loss harvest, duplicate funds and cleanup — the compounders are untouched.
- 05

A few watch items before sizing
TLXIX glide path, tax-location of REITs vs VXUS, and near-term NFLX / GOOGL catalysts.

A concentrated, equity-heavy growth book

TWELVE LARGEST HOLDINGS



KEY METRICS

TOTAL VALUE

\$1,622,015

POSITIONS

39

TOP 5 WEIGHT

40.7%

TOP 10 WEIGHT

58.3%

CASH

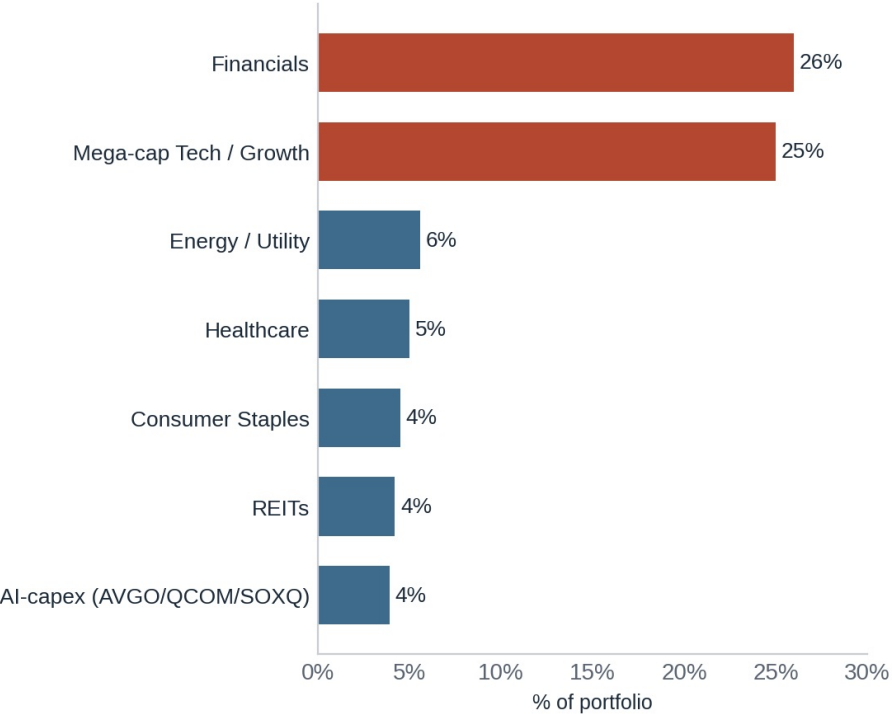
2.0%

LARGEST HOLDING

TLXIX · 10.0%

The book is broadly diversified by **count** — but weight is concentrated. The top 5 names carry **40.7%** and the top 10 carry **58.3%**. Most large positions are long-held compounders sitting on very large embedded gains, which shapes what capital is realistically available to redeploy.

The exposure is clustered by theme



Financials

26%

Banks (JPM, GS) 15.8% · card networks (MA, V, AXP) 10.2%

Mega-cap tech / growth

25%

AMZN, AAPL, GOOG, META, MSFT, NFLX

Two themes combined

~51%

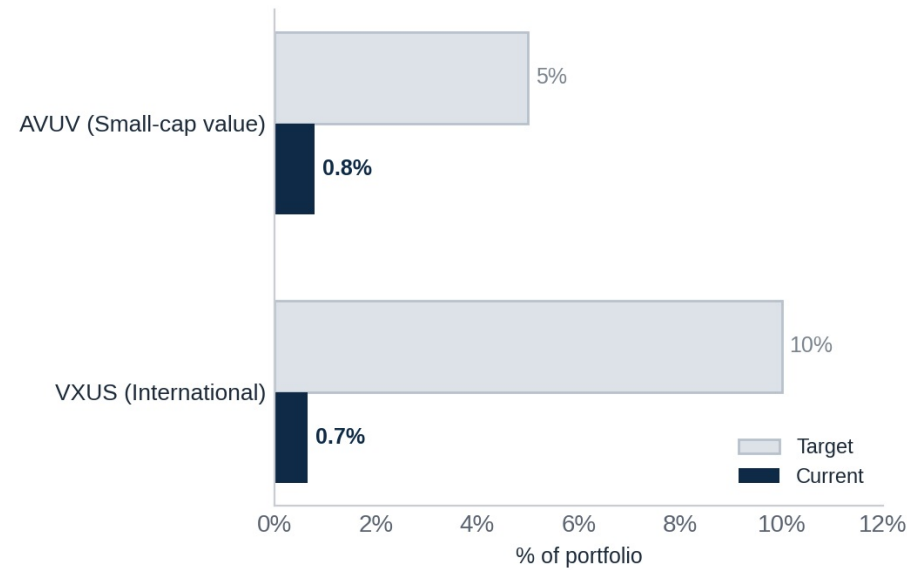
Correlated exposure — the real concentration risk

WHY IT MATTERS

A "reduce the top holdings" lens understates this: no single financial screams, but five names stack to a quarter of the portfolio. Diversifying the *themes* matters more than trimming any one position.

International & small-cap value vs. plan targets

CURRENT WEIGHT VS. TARGET



Capital still to deploy

VXUS → 10% \$151,519

AVUV → 5% \$68,136

Total gap \$219,655

Both sleeves are roughly **3% funded** against target. The initial buys are in place; the remaining gap is best closed through **redirected contributions** at your 2/3 VXUS : 1/3 AVUV split rather than a single large sale.

Tax-location note: hold the VXUS sleeve in the taxable account to capture the foreign tax credit; keep REITs (AMT, VTR) in tax-advantaged accounts.

Income is covered — so the portfolio is for growth

GUARANTEED ANNUAL INCOME

\$80,000

Pension + retiree medical coverage

With baseline living costs met by a guaranteed pension, the portfolio does not need to generate income. That changes how we judge every dividend-oriented holding: its job is **total return**, not yield.

IMPLICATIONS

Least aligned with growth

- DVY — high-yield value tilt
- SO — utility bond-proxy
- Higher-yield **staples** ballast

The pension already provides the "ballast" that these low-growth positions would otherwise supply.

Still defensible

- SCHD — quality screen, not just yield
- KO / PEP — durable compounders

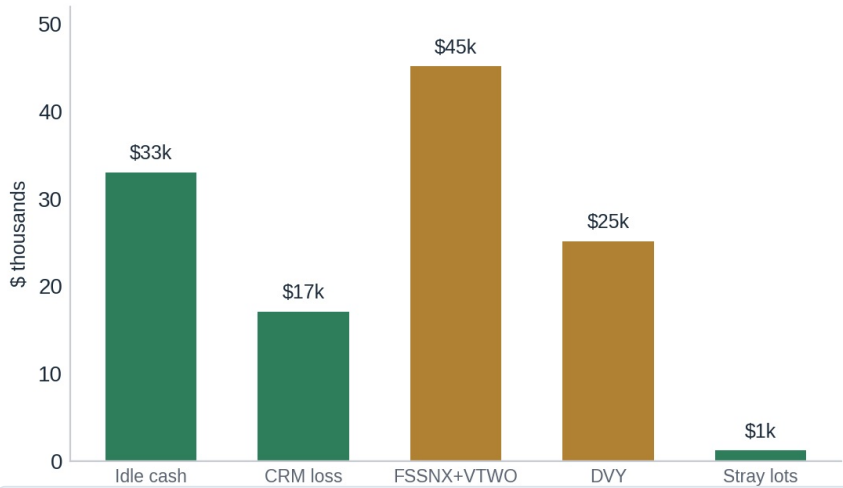
Worth keeping if held for quality and growth — but worth asking whether each earns its place under a pure growth objective.

The opportunity

The income-tilted sleeve doubles as the **cleanest funding source** for the international and small-cap build — reallocating from lowest-growth holdings toward the sleeves that are furthest from target.

~\$122k identifiable — with the compounders untouched

SOURCES OF REDEPLOYABLE CAPITAL



PRO-FORMA AFTER DEPLOYING THE POOL (2/3 : 1/3)

VXUS 0.7% → 5.7%

AVUV 0.8% → 3.3%

Remaining ~\$98,123 to target then comes from redirected contributions.

DETAIL & TAX FRICTION

SOURCE	VALUE	FRICTION
Idle cash	\$33,000	None
CRM — harvest ~19% loss	\$17,061	Tax benefit
FSSNX + VTWO — duplicate Russell 2000	\$45,167	Embedded gains
DVY — income tilt	\$25,116	Embedded gains
Stray lots — VXF / SOXQ / GRID	\$1,189	~Flat
Identifiable total	\$121,532	

Account-location caveat: only ~\$51,250 (cash + CRM loss + stray lots) is truly friction-free. FSSNX, VTWO and DVY carry embedded gains — selling them in a *taxable* account triggers tax; in tax-advantaged accounts they can be rotated freely. Execution depends on where each lot sits, which isn't visible in the source file.

What to monitor — and the order of operations

MONITOR & VERIFY

TLXIX glide path

Your largest position (10%) is a 2045 target-date fund — it already holds ex-US equity and a growing bond sleeve. True look-through international is higher than 0.7%, and it will keep de-risking into bonds you may not need.

Tax location

Confirm REITs (AMT, VTR) sit in tax-advantaged accounts and the VXUS build sits in taxable for the foreign tax credit.

Near-term catalysts

NFLX reports 16 Jul; the GOOGL ad-tech remedies ruling is pending. Keep sizing decisions on those names parked until both resolve.

Housekeeping

VXF (\$241), SOXQ (\$584) and GRID (\$365) are rounding-error lots adding line-item noise.

SUGGESTED ACTION SEQUENCE

- 1 Harvest the CRM loss and sweep idle cash into the sleeves.
- 2 Consolidate FSSNX + VTWO; rotate small-cap blend toward AVUV where tax allows.
- 3 Redirect all new contributions 2/3 VXUS / 1/3 AVUV until targets are met.
- 4 Review DVY, SO and the highest-yield staples against the growth mandate.
- 5 Revisit theme weights (financials, mega-cap tech) once the sleeves are funded.
- 6 Confirm tax-location of REITs vs. the VXUS sleeve across accounts.

IMPORTANT DISCLOSURES

This presentation was prepared for discussion purposes only and reflects a review of a single portfolio file as provided, with prices and market values as stated in that file. It is **illustrative and educational, not personalized investment, tax, or legal advice**, and no recommendation to buy or sell any security is intended. Claude is an AI assistant and is not a licensed financial advisor, broker-dealer, or tax professional.

Portfolio weights, theme groupings, and factor targets reflect the stated restructuring plan and reasonable classifications; groupings are judgment-based and others are defensible. Figures for capital "still to deploy" and "identifiable funding" are arithmetic against the plan's targets and do not account for account location, cost-basis lots, tax rates, or transaction costs — all of which materially affect execution and are not fully visible in the source file.

Embedded-gain and tax-friction notes are directional. Confirm account location and consult a qualified tax advisor before realizing gains. Past performance does not guarantee future results; all investing involves risk, including possible loss of principal.